IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH - II, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of Scheme of Arrangement (Demerger)

Between

CP(CAA)/51/(CHE)/2022
in
CA(CAA)/793/(CHE)/2020

MIL INDUSTRIES LIMITED
CIN NO: L25199TN1966PLC005397
NO.25A, SIDCO INDUSTRIAL ESTATE,
AMBATTUR, CHENNAI – 600 098

...1st Petitioner/ Demerged Company

Along with

MIL INDUSTRIES & AEROSPACE LIMITED
CIN NO: U74999TN2018PLC122159
NO.25A, SIDCO INDUSTRIAL ESTATE,
AMBATTUR, CHENNAI – 600 098

... 2nd Petitioner/Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

CORRIGENDUM

In the order dated 22.07.2022, certain inadvertent typographical error had crept in and as such in exercise of powers conferred under Rule 154 of the National Company Law Tribunal Rules, 2016, the Order dated 22.07.2022 is rectified as under :

In Paras 3.2 and 3.3 of page 3, the following lines shall be read as follows

"3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this

Tribunal, vide order dated 17.11.2021, to convene the meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company on 23.12.2021 at No.25A, SIDCO Industrial Estate, Ambattur, Chennai - 600098 at 11:00 AM & 12:00 Noon respectively Accordingly, the Tribunal has appointed Mr. Balu Sridhar, PCS as Chairperson and Ms. Nithya Pasupathy, PCS as Scrutinizer for the said meetings. Subsequent to the said order, **in the application preferred by the Applicant in MA(CA)/98(CHE)/2021, this Tribunal had altered the date of the above-said meetings from 23.12.2021 to 15.03.2022, vide order dated 20.01.2022. Thereafter,** the Demerged Company has filed the present Petition before this Tribunal on 23.03.2022 for sanction of the Scheme of Arrangement by this Tribunal.

3.3 The Chairman submitted his Report on the above said meetings held on **15.03.2022**. From the Chairman's Report, it is observed that the Equity Shareholders, Unsecured Creditors of the Demerged Company had consented in favour of the Scheme. The said Chairman's report is also annexed at "Annexure 3 and Annexure 4" to the typed set filed along with the Petition."

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 28TH DAY OF JULY 2022

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And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on 22nd July 2022

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s) : Mr.E.Ompraksah Sr. Advocate,
Mr.G.V.Mohan Kumar, Advocate

COMMON ORDER

***Per:* Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration Joint Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the

Petitioner Companies viz. **MIL INDUSTRIES LIMITED** (for brevity "Demerged Company") and **MIL INDUSTRIES & AEROSPACE LIMITED**(for brevity "Resulting Company)and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed at **"Annexure -5"** to the typed set filed along with the application in CP/CAA/51/CHE/2022.

2. The Registered office address of the Demerged Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/CAA/793/CHE/2020, before the NCLT, Chennai Bench and directions were issued vide order dated 17.11.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company had filed its First Motion Application vide CA/CAA/793/CHE/2020, seeking directions for conducting or convening of meeting of the Equity Shareholders and Unsecured Creditors of the Demerged Company and seeking dispensation of meeting of the

Secured Creditors of Demerged Company and seeking Dispensation of the meeting of the Equity Shareholders and Unsecured Creditors of the Resulting Company and the same was ordered by this Tribunal dated 17.11.2021.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 17.11.2021, to convene the meetings of the Equity Shareholders and Unsecured Creditors of the Demerged Company on 23.12.2021 at No.25A, SIDCO Industrial Estate, Ambattur, Chennai - 600098 at 11:00 AM & 12:00 Noon respectively Accordingly, the Tribunal has appointed Mr. Balu Sridhar, PCS as Chairperson and Ms. Nithya Pasupathy, PCS as Scrutinizer for the said meetings. Subsequent to the said order, the Demerged Company has filed the present Petition before this Tribunal on 23.03.2022 for sanction of the Scheme of Arrangement by this Tribunal.

3.3 The Chairman submitted his Report on the above said meetings held on 23.12.2021. From the Chairman's Report, it is observed that the Equity Shareholders, Unsecured Creditors of the Demerged Company had consented in favour of the Scheme. The said Chairman's report is also annexed at "Annexure 3 and Annexure 4" to the typed set filed along with the Petition.

4. RATIONALE OF THE SCHEME

The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a) The proposed segregation will create enhanced value to the shareholders and creditors and allow a focussed strategy in operations, which would be in the best interest of all the stakeholders. The arrangement proposed by this Scheme will enable investors to hold investments in businesses with different characteristics, thereby enabling them to select investments which best suit their investment strategies and risk policies.

b) The nature of risk and competition involved in each of businesses run by the Demerged Company is distinct from each other and consequently such business or undertaking is capable of attracting different set of investors, strategic partners, lenders and other stakeholders. There are also differences in the manner in which each of these businesses are required to be handled and managed. This Scheme will enable the Demerged Company and the Resulting Company to manage the businesses efficiently and independently.

c) The proposed implementation of this Scheme will provide:

- enhanced strategic flexibility to build a vibrant industrial platform;
- will provide a dedicated management focus and accelerate the growth of the respective businesses; and

- access to varied sources of funds for rapid growth of both the businesses

d) The Scheme would not have any adverse effect on either the shareholders, or the employees or the creditors of both the Companies

(e) The transfer and vesting of the Demerged Undertaking into the Resulting Company would be in the best interests of both the shareholders of the Demerged Company and the Resulting Company as it would result in enhanced value for the shareholders and allow focussed strategy in the operation of the Demerged Undertaking and the remaining business of the Demerged Company. Pursuant to the Scheme all the Shareholders of the Demerged Company will get shares in the Resulting Company and there would be no change in the economic interest of any of the shareholders of the Demerged Company pre and post implementation of the Scheme.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 02.05.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, and (iii) the Jurisdictional Income Tax Office having Jurisdiction and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (Chennai Edition) and *"Maalai Malar"* Tamil (Chennai Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal and a perusal of the same discloses that the Demerged Company has effected paper publication as directed by the Tribunal in *"Business Standard"* (Chennai Edition) in English and *"Maalai Malar"* (Chennai Edition) in Tamil on 26.01.2022. It is also seen that notices have been also served to (i) Regional Director (Southern Region) on 17.05.2022, (ii) RoC, Chennai on 17.05.2022, (iii) SEBI on 17.05.2022 (iv) Metropolitan Stock Exchange of India Limited (Mumbai) on 17.05.2022 (v) the Jurisdictional Income Tax Office on 17.05.2022 having Jurisdiction. Pursuant to the service of notice of the petition the following statutory authorities have responded as below;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region*(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion, has filed his Report before this Tribunal on 13.06.2022 and has stated in para 7 that clause 6.5 of Part 5 of the Scheme provides for the protection of employees of the Demerged Company. All staff and employees of the Demerged Company, in service on the effective date, shall be deemed to have become Permanent employees of the

Resulting Company, with effect from the effective Date without any break in their service and other benefits.

7.2. The RD had further averred in para 3 of the Report wherein it was submitted that as per Clause (ii) of Part 1 of the Scheme, the Appointed Date is 15.11.2019, which is ante- dated beyond a year and is not in accordance with Section 232(6) of the Companies Act, 2013. It is prayed that Hon'ble NCLT, Chennai may direct the applicants to revise the Appointed Date or may determine an Appointed Date, as it thinks fit. It has been further submitted that as per the report of the RoC, Chennai, the Demerged Company and the Resulting Company have filed its statutory returns up to 31.03.2021 and in respect of the Applicant Companies no prosecution filed, no complaints pending and no inspection/ investigation has been conducted. Accordingly, the RD, as recorded in paragraph 12 of the said report, has decided not to make any objection to the scheme.

7.3. Thus, after examining the Scheme, except the observations as made in para 3 of the Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.4. In relation to the objections raised by the RD, it is seem that Applicant Companies has filed a Memo dated 14.07.2022 vide SR No. 4295 stating that the Appointed Date in respect of the Scheme can be fixed as 1st April 2022 instead of 15.11.2019. The said Affidavit filed by the Petitioner Company is taken on record and accordingly the Appointed Date of the Scheme shall be **01.04.2022.**

7.5. Despite notice having been served, there is no representation from the Department of Income Tax and other statutory authorities and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.6. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs*

filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. **VALUATION REPORT**

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Vinay Totla, Registered Valuer dated 02.12.2019, and the Copy of the Valuation Report is placed at "Annexure 13" at Page Nos. 278 to 286 of the typed set filed along with the application in CA/CAA/793/CHE/2020.

9. **ACCOUNTING TREATMENT**

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting

Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of Applicant Companies is placed at "Annexure 15" to the typed set filed along with the Application in CA/CAA/793/CHE/2020.

10. **OBSERVATIONS OF THIS TRIBUNAL**

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as **Annexure "5"** along with CP/51/CAA/2022.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerged Company or Resulting Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company ; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 4 of Part 4 of the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the

Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be **01.04.2022**.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Gopishankar.D